NCERT Summary: Topic 02: Human Resources & Capital Formation — Raw Notes

Source Integration

- NCERT Class 9 Economics, Chapter 2: *People as Resource*
- NCERT Class 11 Indian Economic Development, Chapter 4: *Human Capital Formation in India*

Core Factual & Conceptual Architecture

1. Conceptual Transition: Population as Asset vs. Liability

- **People as Resource**: Viewing population through the lens of productive capacities, skills, and cognitive abilities rather than purely as a consumptive burden.
- **Human Capital Formation**: The process of transforming human resources into productive assets by embedding education, health, skills, and technical capabilities.
- Parallel: Just as a nation accumulates physical capital (machinery, power grids) to expand production, it accumulates human capital to enhance total factor productivity.

2. Economic Classification of Activities

- **Sectoral Typology**:
  - *Primary*: Direct extraction/utilization of natural assets (agriculture, animal husbandry, mining, forestry, fisheries).
  - *Secondary*: Transformation and manufacturing of raw inputs into finished goods (factories, agro-processing).
  - *Tertiary*: Value-adding support services (trade, banking, healthcare, logistics, ICT).
- **Market vs. Non-Market Divide**:
  - *Market Activities*: Performed for pay or profit; officially accounted for in Gross Domestic Product (GDP).
  - *Non-Market Activities*: Production for self-consumption or unpaid domestic care work. Disproportionately performed by women, representing a structural omission in traditional National Income Accounting.

3. Five Core Sources of Human Capital Formation

1. **Expenditure on Education**: Foundation of human capital. Yields future earnings returns and raises cognitive adaptability.
2. **Expenditure on Health**: Includes preventive medicine (vaccination, sanitation), curative medicine (treatment, surgery), and social medicine (nutrition literacy, potable water). A healthy worker maximizes labor market hours and output.
3. **On-the-Job Training**: In-house or off-campus technical skilling borne by firms, recovered via elevated labor productivity.
4. **Migration**: Geographic labor reallocation (rural-to-urban, brain drain/gain internationally). Transport costs and living cost differentials are offset by the net present value of higher expected income.
5. **Information Acquisition**: Spending on acquiring labor market intelligence (wages, job profiles) and institutional credentials to optimize capital allocation.

4. Physical Capital vs. Human Capital

- **Tangibility**: Physical capital is tangible and salable; human capital is intangible, embodied in the person, and only its productive services can be sold.
- **Separability & Presence**: Physical capital exists independently of its owner; human capital requires the physical presence of the bearer.
- **Depreciation**: Physical capital depreciates through wear, tear, and technological obsolescence; human capital depreciates with aging/disease, but can be maintained or expanded through continuous learning and healthcare.
- **Externalities**: Physical capital yields predominantly private benefits; human capital

generates significant positive social externalities (disease containment, civic participation, lower crime, intergenerational learning).

5. Conceptual Dichotomy: Human Capital vs. Human Development

- **Human Capital Perspective**: Instrumental view. Treats health and education as means to an end (enhancing labor productivity and economic output). Unproductive spending is viewed as deadweight.
- **Human Development Perspective**: Intrinsic capability approach. Treats health, literacy, and dignity as fundamental rights and ends in themselves, irrespective of direct economic returns.

6. Rationale for State Intervention

- **Positive Externalities**: Under-provision by market forces due to social spillover benefits.
- **Information Asymmetry**: Inability of consumers to assess the quality and pricing of complex medical/educational services creates monopoly rents and exploitation.
- **Irreversibility**: Deficiencies in early-stage education or neonatal healthcare cause lifelong, irreversible developmental damage.
- **Equity Imperative**: Market mechanisms ration access by purchasing power, excluding vulnerable socioeconomic segments.

7. Structural Unemployment Typologies

- **Disguised Unemployment**: Marginal productivity of labor (MP_L) equals zero. Common in Indian agriculture where land carries excess family labor.
- **Seasonal Unemployment**: Cyclical lack of work matching agrarian sowing and harvesting calendars.
- **Educated Unemployment**: Structural mismatch between generalized academic qualifications and market demands for technical, vocational skills.

✍ Notes & Updates